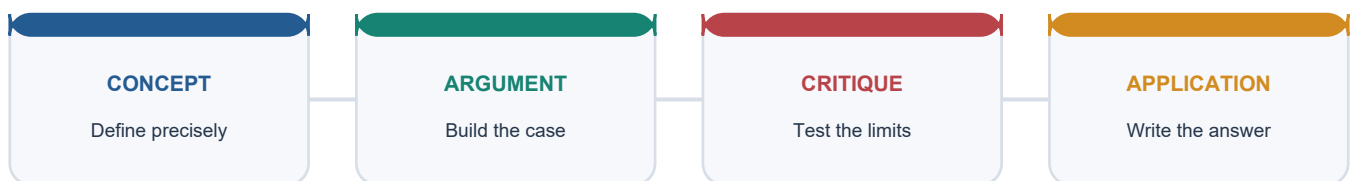


COMPLETE LEARNING SESSION

RBI, Monetary Policy and Liquidity Management - Complete Learning Session

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

RBI, Monetary Policy and Liquidity Management - Complete Learning Session	5
SOURCE AND DATE CONTROL	5
LEARNING CONTRACT	5
BASIC LEARNING SESSION	6
SESSION 1 - RBI origin, ownership, statutory identity and institutional limits	6
SESSION 2 - RBI functions: monetary, currency, banking, external and regulatory roles	7
SESSION 3 - Monetary-policy objective and flexible inflation targeting	8
SESSION 4 - MPC composition, appointment, tenure and disqualification	10
SESSION 5 - MPC voting, meetings, publication and failure accountability	11
SESSION 6 - Policy rate, WACR and the dated transmission corridor	13
SESSION 7 - SDF, MSF, Bank Rate, CRR, SLR and reverse-repo boundaries	14
SESSION 8 - Transient liquidity: fixed and variable repo/reverse-repo operations	15
SESSION 9 - Durable liquidity: OMOs, Operation Twist, MSS and forex swaps	17
SESSION 10 - Reserve money, money multiplier and endogenous credit	18
SESSION 11 - Liquidity versus solvency and lender of last resort	19
SESSION 12 - Transmission channels from repo to inflation and output	21
SESSION 13 - External benchmark lending, MCLR and bounded banking cross-link	22
SESSION 14 - Tightening, easing, real policy rate, neutral rate and stance	24
SESSION 15 - Inflation-growth trade-offs, supply shocks and policy coordination	25
SESSION 16 - Exchange-rate spillovers, forex intervention and sterilisation	27
SESSION 17 - RBI balance sheet, income, seigniorage and surplus	28
SESSION 18 - Integrated decision route and Topic 3/Topic 5 boundaries	29
BASIC MCQS / REMEDIATION	31
MCQ 1	31
MCQ 2	31
MCQ 3	32
MCQ 4	32
MCQ 5	32
MCQ 6	33

MCQ 7	33
MCQ 8	33
MCQ 9	34
MCQ 10	34
MCQ 11	34
MCQ 12	35
MCQ 13	35
MCQ 14	35
MCQ 15	36
MCQ 16	36
MCQ 17	36
MCQ 18	37
MCQ 19	37
MCQ 20	37
MCQ 21	38
MCQ 22	38
MCQ 23	38
MCQ 24	39
MCQ 25	39
MCQ 26	39
MCQ 27	40
MCQ 28	40
MCQ 29	40
MCQ 30	41
MCQ 31	41
MCQ 32	41
PYQS AND ANSWER PRACTICE	42
VERIFIED PYQ ROUTES AND OFFICIAL-KEY DISCIPLINE	42
ORIGINAL MAINS 1 - 10 MARKS	43
ORIGINAL MAINS 2 - 10 MARKS	44
ORIGINAL MAINS 3 - 15 MARKS	44
ORIGINAL MAINS 4 - 15 MARKS	45

ORIGINAL MAINS 5 - 20 MARKS	45
ORIGINAL MAINS 6 - 20 MARKS	46
OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER	47
1. Corridor microstructure and distribution	47
2. Term structure and expectations	47
3. Optimal liquidity and floor-system questions	47
4. Monetary-fiscal interaction	47
5. Central-bank capital and credibility	47
6. Distributional political economy	47
CONSOLIDATED REGISTER NOTES	47
1. Institutional timeline and limits	47
2. Target, actor and accountability decoder	47
3. Corridor and instrument table	48
4. Liquidity toolkit	48
5. Money, credit and stress	49
6. Transmission and stance	49
7. Inflation, growth, exchange rate and fiscal coordination	49
8. RBI balance-sheet recall	49
9. Prelims traps	49
10. Mains frameworks	50
11. Topic boundaries	50
COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM	50

RBI, Monetary Policy and Liquidity Management - Complete Learning Session

Subject: Economy | **UPSC:** Prelims and GS-III | **Current-source cutoff:** 9 September 2026

SOURCE AND DATE CONTROL

Layer	Sources checked	Use in this package
Canonical Economy Markdown	upsc- ai- kit\ knowledge\ Economy\ basic\ 04_ RBI- Monetary- Policy- and - Liquidity- Management.md and the complete Topic 4 package owner	Core definitions, instrument taxonomy, India examples and routed PYQ ownership
Optional Advanced Markdown	upsc- ai- kit\ knowledge\ Economy\ advanced\ 04_ RBI- Monetary- Policy- and - Liquidity- Management.md	Separately labelled enrichment only
OCR books	Ramesh Singh, <i>Indian Economy</i> , local PDF pp. 556-563 and 592-597; <i>Economic Survey 2025-26</i> , chapter 3, local official PDF pp. 130-150	RBI history/functions, monetary aggregates, reserve money, instruments, transmission and FY26 evidence
RBI Act and rules	RBI Act, 1934, especially sections 7, 8, 17, 42 and 45ZA-45ZN; Monetary Policy Committee rules/regulations	Statutory basis, roles, composition, meetings, publication and accountability
Current RBI sources	25 March 2026 Gazette renewal as recorded in RBI Annual Report 2025-26 and RBI Bulletin; revised liquidity framework dated 30 September 2025; MPC resolution dated 5 August 2026; minutes dated 19 August 2026	Dated target, corridor, rates, membership, operating target and current framework
Other official law	Reserve Bank (Transfer to Public Ownership) Act, 1948; Banking Regulation Act, 1949, section 24	Nationalisation and SLR distinction

Current-status rule: Policy rates, reserve ratios, stance, membership and operating procedures are time-varying. They are stated only with a source date and must be rechecked before reuse. As of the RBI decision dated **5 August 2026**, repo was **5.25%**, SDF **5.00%**, MSF and Bank Rate **5.50%**, and stance **neutral**. RBI data checked on **9 September 2026** showed CRR **3.00%** and SLR **18.00%**. These are dated observations, not timeless definitions.

Official links checked: RBI home/preamble; August 2026 MPC decision; August 2026 Governor's statement; August 2026 MPC minutes; revised liquidity framework, 30 September 2025; SDF introduction, 8 April 2022; inflation-target review; RBI Annual Report 2025-26.

LEARNING CONTRACT

Rule	Application
Visual first	Every Core session begins with a topic-specific process, institution map, balance sheet, comparison or decision tree.
Definition and answer line	Every session defines the concept and supplies an adaptable examiner-facing line.
Paragraph method	Every session uses a unique Claim -> named evidence -> analysis -> qualification sequence.
Institutional precision	Central Government, MPC, RBI, banks and markets are never treated as interchangeable actors.
Current-data discipline	A rate or membership list always carries its decision/verification date.
Topic boundary	Inflation measurement is cross-linked to Economy Topic 3; banking structure and prudential regulation are cross-linked to Topic 5 without duplication.

BASIC LEARNING SESSION

SESSION 1 - RBI origin, ownership, statutory identity and institutional limits

VISUAL FIRST

HILTON-YOUNG COMMISSION (1926)
|
RBI ACT, 1934 -> operations began 1 April 1935
|
Reserve Bank (Transfer to Public Ownership) Act, 1948
|
public ownership effective 1 January 1949
|
STATUTORY CENTRAL BANK -> operational autonomy within legislation
+> Section 7 public-interest direction power of Central Government
+> Central Board governance; no constitutional status

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

The Reserve Bank of India is India's statutory central bank, created under the RBI Act, 1934. It began business on 1 April 1935, was originally shareholder-owned, and came into public ownership on 1 January 1949 under the 1948 transfer Act.

ANSWER-GRABBING LINE

RBI autonomy is functional and statutory, not sovereign: credibility requires room for expert action, while legitimacy rests on law, public accountability and a defined governmental role.

MUST-WRITE KEYWORDS

- RBI Act, 1934
- 1 April 1935
- public ownership, 1949
- statutory body
- Section 7
- Central Board
- functional autonomy

CORE EXPLANATION

The Hilton-Young Commission supplied the institutional background, but Parliament created RBI through statute. The Preamble joins note issue, reserves, monetary stability and the currency-credit system; the 2016 amendment added a modern framework whose primary objective is price stability while keeping growth in mind. RBI is neither a constitutional body nor outside government. Section 7 permits Central Government directions after consultation with the Governor in the public interest, while general superintendence otherwise lies with the Central Board and day-to-day executive authority with the Governor. This arrangement creates negotiated autonomy rather than absolute independence.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** RBI's authority is broad but legally bounded.
- **Named evidence:** RBI Act sections 7-8 and the Reserve Bank (Transfer to Public Ownership) Act, 1948 distinguish government ownership, board governance and statutory powers.
- **Analysis:** The distinction explains why RBI can take specialised monetary and regulatory decisions but cannot rewrite its mandate, tax, spend, or claim constitutional immunity.

- **Qualification:** Government ownership does not mean that every operational decision is taken by the Finance Ministry; statutory allocation and accountability must be read function by function.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI Act sections 7-8 and the Reserve Bank (Transfer to Public Ownership) Act, 1948 distinguish government ownership, board governance and statutory powers.
Prelims trap	Do not call RBI a constitutional body, a private bank after 1949, or an institution with absolute independence.
Mains use	Use this architecture in questions on central-bank independence, accountability and fiscal-monetary relations.

MINI RECAP

- Act in 1934; operations in 1935; public ownership in 1949.
- Statutory autonomy operates inside law and public accountability.
- Section 7 is an institutional limit, not proof of routine ministerial rate-setting.

SESSION 2 - RBI functions: monetary, currency, banking, external and regulatory roles

VISUAL FIRST

RBI

- |-- monetary authority -> policy implementation and liquidity
- |-- issuer of banknotes -> currency management (Rs 1 note/coin exception)
- |-- banker/debt manager -> Union and participating States
- |-- bankers' bank -> reserves, settlement, lender-of-last-resort support
- |-- forex-reserve manager -> intervention against disorderly movement
- |-- regulator/supervisor -> only within statutes and assigned entities
- +++ payment-system oversight -> safety, settlement and directions

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

A central bank combines monetary authority with currency, government banking, reserve management, settlement and financial-stability functions; each role has a separate legal and operational perimeter.

ANSWER-GRABBING LINE

RBI is best understood not as one regulator with unlimited reach, but as a statutory platform carrying distinct monetary, currency, banking, reserve and payment mandates.

MUST-WRITE KEYWORDS

- **currency issuer**
- **banker to government**
- **bankers' bank**
- **lender of last resort**
- **forex reserves**
- **payment systems**
- **statutory perimeter**

CORE EXPLANATION

RBI issues banknotes other than the one-rupee note issued by the Government of India, manages currency circulation, keeps specified bank reserves, provides settlement and emergency central-bank liquidity, acts as banker and debt manager to governments, manages foreign-exchange reserves and regulates assigned financial and payment entities. It supports orderly markets and financial stability, but its reach depends on the RBI Act, Banking Regulation Act, FEMA, Payment and Settlement Systems Act and other mandates. Securities, insurance and fiscal policy belong to other authorities, although coordination is unavoidable.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** RBI's effectiveness depends on separating its multiple roles before evaluating a policy action.
- **Named evidence:** The RBI Preamble and statutory framework assign note issue, reserves and currency-credit management, while later laws assign banking, foreign-exchange and payment functions.
- **Analysis:** A repo decision, a bank-supervision direction and a forex intervention may all come from RBI but pursue different intermediate objectives and use different balance-sheet channels.
- **Qualification:** Institutional coordination does not erase statutory boundaries; detailed bank categories and prudential architecture belong to Economy Topic 5.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The RBI Preamble and statutory framework assign note issue, reserves and currency-credit management, while later laws assign banking, foreign-exchange and payment functions.
Prelims trap	Do not infer that RBI regulates every financial institution or issues the one-rupee note.
Mains use	Classify RBI actions by mandate before judging autonomy, effectiveness or conflict of objectives.

MINI RECAP

- One institution performs several legally distinct functions.
- Lender-of-last-resort liquidity is not a solvency guarantee.
- Banking-structure detail is cross-linked to Topic 5.

SESSION 3 - Monetary-policy objective and flexible inflation targeting

VISUAL FIRST

CENTRAL GOVERNMENT + RBI CONSULTATION (RBI Act s.45ZA)

Official Gazette target once every five years

HEADLINE CPI TARGET = 4%

TOLERANCE = 2% to 6%

CURRENT PERIOD = 1 Apr 2026 to 31 Mar 2031

MPC chooses policy repo rate

price stability PRIMARY; growth kept in mind

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Flexible inflation targeting uses a publicly notified headline CPI target as the nominal anchor while allowing policy to consider growth, output and the nature of shocks.

ANSWER-GRABBING LINE

India's framework is flexible because price stability is primary but not solitary, and accountable because the target, tolerance band and review clock are public.

MUST-WRITE KEYWORDS

- Section 45ZA
- headline CPI
- 4 per cent
- 2-6 per cent band
- five-year review
- nominal anchor
- price stability
- growth

CORE EXPLANATION

Section 45ZA requires the Central Government, in consultation with RBI, to determine the CPI inflation target once every five years and notify it in the Official Gazette. The Gazette notification dated 25 March 2026 retained headline CPI inflation at 4 per cent, with lower and upper tolerance levels of 2 and 6 per cent, for 1 April 2026 to 31 March 2031. The statutory objective is to maintain price stability while keeping in mind growth. The target is not the latest inflation print, and the band is not a declaration that every value inside it is equally desirable.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The renewed framework preserves continuity while retaining accountability for deviations from the 4 per cent centre.
- **Named evidence:** RBI Annual Report 2025-26 and RBI Bulletin record the 25 March 2026 Gazette renewal through March 2031 without changing headline CPI, target or band.
- **Analysis:** A stable nominal anchor can guide expectations, yet flexibility permits policy to look through temporary first-round supply disturbances when medium-term inflation remains anchored.
- **Qualification:** Headline CPI measurement belongs to Topic 3; this topic explains who targets it and how monetary instruments transmit.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI Annual Report 2025-26 and RBI Bulletin record the 25 March 2026 Gazette renewal through March 2031 without changing headline CPI, target or band.
Prelims trap	Do not call 2-6 per cent the target; 4 per cent is the target and 2-6 per cent is the tolerance band.
Mains use	Frame answers around target credibility, shock diagnosis, proportional response and growth-sensitive flexibility.

MINI RECAP

- Government notifies the target after consultation with RBI.
- MPC selects the repo rate needed to achieve it.
- Current notified period ends 31 March 2031.

SESSION 4 - MPC composition, appointment, tenure and disqualification

VISUAL FIRST

SIX-MEMBER MPC (RBI Act s.45ZB)

RBI side	Government-appointed side
Governor - Chair	External expert 1
Deputy Governor, monetary policy	External expert 2
Central Board-nominated RBI officer	External expert 3

equal votes

external term: 4 years; no reappointment

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

The Monetary Policy Committee is the statutory six-member body that determines the policy rate required to achieve the notified inflation target; its decision is binding on RBI.

ANSWER-GRABBING LINE

India's MPC combines internal central-bank information with external expertise, but responsibility remains traceable through named votes and statutory publication.

MUST-WRITE KEYWORDS

- **Section 45ZB**
- **six members**
- **three RBI**
- **three external**
- **four-year term**
- **no reappointment**
- **disqualification**
- **binding decision**

CORE EXPLANATION

The Governor chairs ex officio; the Deputy Governor in charge of monetary policy and one RBI officer nominated by the Central Board are the other internal members. Three external members are appointed by the Central Government through the statutory selection process. External members serve four years and are not eligible for reappointment. Rules screen for age, public office, RBI employment or board links, insolvency, specified conviction, incapacity and unresolved material conflict of interest; these are appointment safeguards, not a licence to remove a member for policy disagreement. At the 3-5 August 2026 meeting, members were Sanjay Malhotra, Poonam Gupta, Indranil Bhattacharyya, Nagesh Kumar, Saugata Bhattacharya and Ram Singh.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** MPC design disperses the rate decision without dissolving institutional responsibility.
- **Named evidence:** Section 45ZB fixes three RBI and three external seats; the 19 August 2026 minutes name all six attending members and identify the Central Board-nominated RBI officer.
- **Analysis:** Balanced membership reduces single-person discretion, while fixed external tenure and public votes support independence and accountability.
- **Qualification:** Membership is time-varying; the named list is verified only for the August 2026 meeting and must be rechecked later.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Section 45ZB fixes three RBI and three external seats; the 19 August 2026 minutes name all six attending members and identify the Central Board-nominated RBI officer.
Prelims trap	Do not say all six are appointed by RBI or that the Governor alone decides the repo rate.
Mains use	Use composition, tenure and conflict safeguards to evaluate committee-based monetary governance.

MINI RECAP

- Three internal plus three external members.
- External members: four years, no reappointment.
- Current names are dated, not permanent constitutional facts.

SESSION 5 - MPC voting, meetings, publication and failure accountability

VISUAL FIRST

MEETING -> quorum 4, including Governor or Deputy Governor
|
one member = one vote -> majority decision
|
tie -> Governor's casting vote
|
resolution published -> minutes on day 14 -> MPR every 6 months
|
3 consecutive quarters outside tolerance
-> RBI report to Central Government:
reasons + remedies + estimated return horizon

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

The MPC process converts collective judgement into a binding rate decision and a public accountability trail.

ANSWER-GRABBING LINE

The credibility of inflation targeting rests as much on disclosed reasoning and failure accountability as on the policy-rate vote itself.

MUST-WRITE KEYWORDS

- quorum four
- majority
- casting vote
- four meetings minimum
- minutes day 14
- Monetary Policy Report
- Section 45ZN
- three consecutive quarters

CORE EXPLANATION

RBI must organise at least four MPC meetings a year; six scheduled meetings are current practice, not the statutory minimum. Quorum is four and must include the Governor or, in the Governor's absence, the Deputy Governor who is an MPC member. Each member has one vote; the Governor has a second or casting vote only on a tie. The statutory sequence is: section 45ZH, information for members; 45ZI, meetings and voting; 45ZJ, implementation; 45ZK, publication of decisions; 45ZL, publication of proceedings; 45ZM, the six-monthly Monetary Policy Report; and 45ZN, failure accountability. RBI publishes minutes on the fourteenth day after the meeting. Failure is defined under the notified framework as average inflation breaching the upper or lower tolerance level for any three consecutive quarters; RBI must then report reasons, remedial actions and the estimated return period to the Central Government.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The MPC is independent in voting but not unaccountable for persistent target failure.
- **Named evidence:** RBI Act sections 45ZI-45ZN prescribe meeting, voting, minutes, report and failure duties; August 2026 minutes were released on 19 August, the fourteenth day after the decision.
- **Analysis:** Named votes expose disagreement and reasoning, while the failure report forces diagnosis and a time-bound corrective strategy rather than mechanical punishment.
- **Qualification:** The accountability trigger is three consecutive quarterly averages outside the tolerance limits, not one monthly CPI print above 6 or below 2.

EVIDENCE, PRELIMS TRAP AND MAINS USE

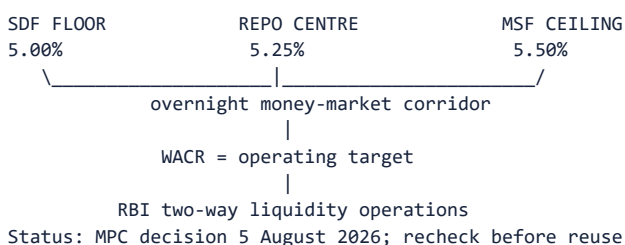
Exam tool	Topic-specific use
Evidence	RBI Act sections 45ZI-45ZN prescribe meeting, voting, minutes, report and failure duties; August 2026 minutes were released on 19 August, the fourteenth day after the decision.
Prelims trap	Do not confuse quorum with full membership, majority with unanimity, or a one-month breach with statutory failure.
Mains use	Present accountability as transparency plus explanation, remedy and return horizon, not automatic dismissal of the MPC.

MINI RECAP

- At least four statutory meetings; usually six scheduled.
- Tie alone activates the Governor's casting vote.
- Three-quarter failure triggers a report, not instant abandonment of FIT.

SESSION 6 - Policy rate, WACR and the dated transmission corridor

VISUAL FIRST



Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

The repo rate is the MPC's policy signal; the overnight weighted average call rate (WACR) is the operating target that RBI seeks to align with repo through liquidity operations inside the SDF-MSF corridor.

ANSWER-GRABBING LINE

A monetary-policy decision becomes operational only when liquidity management makes the overnight market rate validate the announced policy signal.

MUST-WRITE KEYWORDS

- policy repo rate
- WACR
- operating target
- SDF floor
- MSF ceiling
- symmetric corridor
- basis points
- dated rate

CORE EXPLANATION

The revised liquidity framework of 30 September 2025 retained WACR as the operating target and a symmetric corridor, with SDF and MSF normally 25 basis points below and above repo. The 5 August 2026 decision left repo at 5.25 per cent, SDF at 5.00 per cent and MSF/Bank Rate at 5.50 per cent, with a neutral stance. RBI's subsequent statement reported WACR within the corridor and averaged 5.31 per cent since the June meeting. These numbers describe a dated configuration; the durable concept is signal-centre, floor, ceiling and operating-target alignment.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The corridor links the MPC's price decision to the overnight money market.
- **Named evidence:** RBI's 30 September 2025 framework names WACR as operating target and the 5 August 2026 resolution provides the dated corridor rates.
- **Analysis:** If WACR persistently departs from repo, the first stage of transmission becomes noisy even though the announced repo rate has not changed.
- **Qualification:** A WACR near repo shows overnight alignment, not complete pass-through to deposits, bonds or loans.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's 30 September 2025 framework names WACR as operating target and the 5 August 2026 resolution provides the dated corridor rates.
Prelims trap	Do not equate the inflation target, policy rate, operating target and corridor boundaries.
Mains use	Use the corridor to explain why implementation follows, rather than duplicates, MPC decision-making.

MINI RECAP

- Repo signals; WACR operationalises.
- SDF is floor and MSF is ceiling in the current framework.
- All rate numbers must carry the 5 August 2026 date.

SESSION 7 - SDF, MSF, Bank Rate, CRR, SLR and reverse-repo boundaries

VISUAL FIRST

INSTRUMENT DECODER

SDF -> RBI absorbs funds; no collateral; standing floor

MSF -> eligible banks borrow overnight; collateral/backstop; ceiling

Bank Rate -> statutory/reference rate; currently aligned with MSF

CRR -> cash balance with RBI; RBI Act s.42

SLR -> liquid assets maintained by bank; BR Act s.24

FRRR -> retained discretionary absorption tool; no longer corridor floor

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Standing facilities price overnight surplus or shortage, reserve ratios constrain bank balance sheets, and reference rates serve legal or penalty functions; they must not be collapsed into one instrument family.

ANSWER-GRABBING LINE

The sharpest Prelims answer states who holds what asset, with whom, for what tenor and under which legal provision.

MUST-WRITE KEYWORDS

- uncollateralised SDF
- overnight MSF
- Bank Rate
- CRR
- NDTL
- SLR
- section 42
- section 24

- FRRR legacy

CORE EXPLANATION

SDF absorbs eligible participants' funds without RBI providing collateral and has been the corridor floor since April 2022. MSF is an overnight backstop for eligible scheduled commercial banks against eligible securities and forms the ceiling. Bank Rate is a statutory/reference rate used in specified legal and penalty settings and is currently aligned with MSF; it is not the routine policy operation. CRR is a prescribed share of net demand and time liabilities held as cash balance with RBI under section 42 of the RBI Act. SLR is maintained by banks in specified liquid assets under section 24 of the Banking Regulation Act, not deposited as cash with RBI. Fixed-rate reverse repo remains in RBI's toolkit at its discretion but ceased to be the corridor floor after SDF.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Instrument labels reveal different balance-sheet and legal effects.
- **Named evidence:** RBI's 8 April 2022 SDF statement records collateral-free absorption and retention of FRRR; current RBI data checked 9 September 2026 showed CRR 3.00 per cent and SLR 18.00 per cent.
- **Analysis:** Because CRR directly impounds central-bank balances while SLR requires liquid-asset holdings, they differ in liquidity, income and portfolio consequences even when both constrain intermediation.
- **Qualification:** Current ratios and corridor rates can change; definitions and statutory locations are the stable examinable core.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's 8 April 2022 SDF statement records collateral-free absorption and retention of FRRR; current RBI data checked 9 September 2026 showed CRR 3.00 per cent and SLR 18.00 per cent.
Prelims trap	CRR is not government securities held by banks; SLR is not a cash deposit kept with RBI.
Mains use	Compare instruments by objective, counterparty, collateral, tenor, balance-sheet effect and current status.

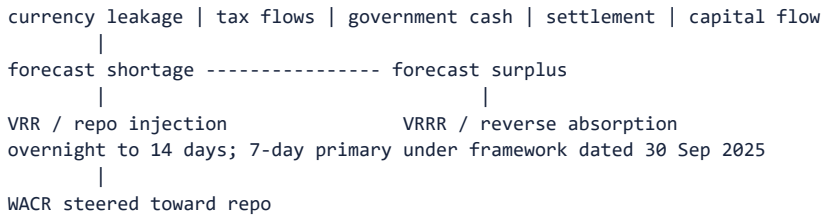
MINI RECAP

- SDF absorbs without collateral; MSF lends against eligible securities.
- CRR with RBI; SLR with the bank.
- FRRR survives as a tool but not as the current floor.

SESSION 8 - Transient liquidity: fixed and variable repo/reverse-repo operations

VISUAL FIRST

AUTONOMOUS LIQUIDITY SHOCK



Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Transient liquidity operations offset short-lived mismatches so that the overnight operating target remains aligned with the policy rate.

ANSWER-GRABBING LINE

Liquidity operations manage the quantity and distribution of reserves; they do not by themselves announce a new monetary-policy stance.

MUST-WRITE KEYWORDS

- VRR
- VRRR
- fixed-rate operation
- transient liquidity
- 7-day main operation
- overnight to 14 days
- advance notice
- autonomous drivers

CORE EXPLANATION

Repos inject and reverse repos absorb liquidity for a stated tenor. A fixed-rate operation announces the price and lets allotment determine quantity; a variable-rate auction discovers the cut-off from bids. Under the revised framework dated 30 September 2025, the old 14-day main operation was discontinued; short-term/transient liquidity is managed primarily through 7-day VRR/VRRR and other tenors from overnight to 14 days at RBI's discretion. RBI normally gives at least one day's notice, but same-day operations remain possible when conditions warrant. Currency in circulation, government balances, taxes, spending and capital flows can move liquidity without any MPC stance change.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Fine-tuning operations protect the information content of the repo signal.
- **Named evidence:** The 30 September 2025 RBI framework explicitly replaced the 14-day main operation with primarily 7-day and flexible overnight-to-14-day VRR/VRRR operations.
- **Analysis:** By offsetting temporary reserve shocks, RBI prevents incidental cash scarcity or surplus from pushing WACR away from repo and sending a false tightening or easing signal.
- **Qualification:** An injection during a neutral or tightening phase may merely repair friction; its tenor and purpose must be read before inferring stance.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 30 September 2025 RBI framework explicitly replaced the 14-day main operation with primarily 7-day and flexible overnight-to-14-day VRR/VRRR operations.
Prelims trap	Every repo auction is not a repo-rate cut, and every absorption operation is not monetary tightening.
Mains use	Separate rate signal, reserve quantity, tenor and operating-target outcome in any liquidity answer.

MINI RECAP

- Transient operations answer short-lived reserve mismatches.
- Variable rate means auction-determined price, not variable policy objective.
- Liquidity action and stance can move differently.

SESSION 9 - Durable liquidity: OMOs, Operation Twist, MSS and forex swaps

VISUAL FIRST

PERSISTENT LIQUIDITY / YIELD PROBLEM

```
-- OMO purchase -> durable reserves up; G-sec holdings shift to RBI
-- OMO sale -> durable reserves down
-- long-term VRR/VRRR -> durable/longer-tenor support or absorption
-- forex swap -> rupee liquidity changes with FX leg
-- MSS issue -> cash locked in separate account; fiscal spending barred
+-- Operation Twist -> buy long + sell short to reshape yield curve
```

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Durable-liquidity tools address persistent reserve conditions or the maturity structure of yields rather than a brief overnight mismatch.

ANSWER-GRABBING LINE

The correct instrument follows the diagnosed persistence: fine-tune a temporary gap, alter durable reserves, or reshape the yield curve without pretending the tools are identical.

MUST-WRITE KEYWORDS

- OMO outright
- durable liquidity
- Operation Twist
- MSS account
- forex swap
- yield curve
- term premium
- sterilisation

CORE EXPLANATION

An OMO purchase is an outright acquisition of government securities and normally injects durable liquidity; a sale absorbs it. Operation Twist combines purchases and sales across maturities, typically buying longer and selling shorter securities, to influence the yield curve and transmission; gross transactions can be liquidity-neutral or not depending on design. MSS securities are issued by the Government for sterilisation, and proceeds enter a separate identifiable cash account used for redemption or buyback rather than ordinary expenditure. Long-term variable operations and forex swaps can also alter durable conditions. Tool choice affects reserve quantity, security supply, maturity premia and RBI/Government balance sheets differently.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Durable-liquidity management is a balance-sheet operation, not merely a longer repo-rate announcement.
- **Named evidence:** RBI's revised framework retains OMOs, long-term variable operations and forex swaps for durable liquidity; the official MSS design segregates proceeds from normal government spending.
- **Analysis:** These tools can change system reserves or term yields even with an unchanged policy repo rate, improving transmission or sterilising external flows.
- **Qualification:** Operation Twist does not guarantee lower every-maturity yield, and an OMO motivated by liquidity is not automatically debt monetisation.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's revised framework retains OMOs, long-term variable operations and forex swaps for durable liquidity; the official MSS design segregates proceeds from normal government spending.
Prelims trap	Repo is a repurchase transaction; OMO is outright; MSS is government issuance with ring-fenced cash.
Mains use	Use a transient-versus-durable diagnostic before recommending VRR, OMO, swap, Twist or MSS.

MINI RECAP

- OMO changes ownership outright.
- Twist targets maturity structure.
- MSS sterilises through separately held proceeds.

SESSION 10 - Reserve money, money multiplier and endogenous credit

VISUAL FIRST

RESERVE MONEY / M_0
currency in circulation + bankers' deposits with RBI + other RBI deposits
|
v
MONEY MULTIPLIER $m = M_3 / M_0$
|
affected by currency-deposit ratio, required/excess reserves,
bank capital/risk appetite, credit demand and payment habits
|
LOAN -> DEPOSIT creation, then reserve settlement
(not an unlimited mechanical $1/CRR$ machine)

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Reserve money is central-bank money; the money multiplier is the ratio of a broader monetary aggregate such as M_3 to reserve money, not a fixed causal constant.

ANSWER-GRABBING LINE

India's money-creation process is simultaneously reserve-enabled and credit-demanded: central-bank liquidity matters, but bank capital, risk, borrowers and currency leakage condition the outcome.

MUST-WRITE KEYWORDS

- M_0
- currency in circulation
- bankers' deposits
- M_3/M_0
- currency-deposit ratio
- excess reserves
- endogenous credit
- capital constraint

CORE EXPLANATION

M0 comprises currency in circulation, bankers' deposits with RBI and other deposits with RBI. A common empirical multiplier is M3 divided by M0. In a simplified deposit model, lower reserve leakage supports a larger expansion, but the textbook $1/\text{reserve-ratio}$ result assumes away cash holdings, excess reserves, capital constraints, risk and weak demand. In modern banking, a sound bank can create a deposit when it lends, then obtain or economise on reserves for settlement; it cannot lend without limit because capital, liquidity, asset quality, funding cost, regulation and borrower demand bind. The Economic Survey 2025-26 accordingly interpreted reserve money both with and without the mechanical effect of a CRR change.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The multiplier is an outcome of behavioural ratios and balance-sheet constraints, not a policy lever with a guaranteed coefficient.
- **Named evidence:** Ramesh Singh defines M0 and monetary aggregates; Economic Survey 2025-26 separated reported M0 growth from CRR-adjusted M0 after the reserve-ratio reduction.
- **Analysis:** A CRR cut can release reserves, yet broad money expands only when banks and borrowers transform that space into viable credit and deposits.
- **Qualification:** Do not conclude that faster M3 mechanically causes equal inflation; output, velocity, portfolio choice and credit quality matter.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Ramesh Singh defines M0 and monetary aggregates; Economic Survey 2025-26 separated reported M0 growth from CRR-adjusted M0 after the reserve-ratio reduction.
Prelims trap	The money multiplier is not always $1/\text{CRR}$ and reserve money is not identical to currency alone.
Mains use	Explain both the central-bank reserve channel and the endogenous bank-credit qualification.

MINI RECAP

- M0 is the monetary base; M3 is broad money.
- $m = M3/M0$ is observed, not immutable.
- Capital, risk, demand and leakages mediate credit creation.

SESSION 11 - Liquidity versus solvency and lender of last resort

VISUAL FIRST

BANK STRESS TEST

temporary cash mismatch + sound assets?

| yes

v

LIQUIDITY problem

central-bank liquidity

may bridge settlement

|

lender of last resort: collateral, terms, supervision, moral-hazard guard

| no / negative net worth

v

SOLVENCY problem

capital, resolution, loss allocation

liquidity alone can delay recognition

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Liquidity is the ability to meet payments when due; solvency is the condition that assets and earning capacity can cover liabilities over time.

ANSWER-GRABBING LINE

A lender of last resort can bridge an illiquid balance sheet, but cannot convert bad assets into good capital merely by extending cash.

MUST-WRITE KEYWORDS

- liquidity
- solvency
- lender of last resort
- collateral
- haircut
- moral hazard
- resolution
- capital

CORE EXPLANATION

Central-bank facilities can prevent fire sales and settlement contagion when an institution is fundamentally viable but temporarily short of cash. A solvent bank may hold long-duration or illiquid assets and still need emergency liquidity. An insolvent institution has an asset-value or capital problem; repeated liquidity can hide losses and transfer risk. Effective support therefore needs eligible collateral, pricing, supervisory information, loss-absorption rules and an exit or resolution path. System liquidity can also be ample while a particular bank remains stressed because reserves are distributed unevenly or counterparties distrust it.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Liquidity support preserves the payments system only when solvency and incentives are separately addressed.
- **Named evidence:** The central-bank lender-of-last-resort function and MSF/backstop architecture provide temporary funding, while prudential capital and resolution remain separate regulatory domains.
- **Analysis:** This separation limits panic without socialising every private loss and explains why aggregate surplus liquidity cannot cure a weak bank.
- **Qualification:** Detailed capital adequacy, NPA recognition, deposit insurance and resolution belong to Economy Topics 5 and 6.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The central-bank lender-of-last-resort function and MSF/backstop architecture provide temporary funding, while prudential capital and resolution remain separate regulatory domains.
Prelims trap	Do not diagnose every bank failure as a shortage of system liquidity.
Mains use	Use the liquidity-solvency matrix when evaluating emergency support, moral hazard and financial stability.

MINI RECAP

- Liquidity is timing; solvency is net worth and viability.
- Central-bank cash can prevent fire sales.
- Capital repair and resolution require separate action.

SESSION 12 - Transmission channels from repo to inflation and output

VISUAL FIRST

MPC SIGNAL + COMMUNICATION

```
|-- interest-rate channel -> money-market/deposit/lending rates -> spending
|-- credit channel -> bank balance sheets/collateral -> loan supply
|-- expectations channel -> wage/price/contract decisions
|-- exchange-rate channel -> capital flows/rupee/import prices/net exports
+-- asset-price channel -> bonds/equity/housing/wealth/collateral
    |
    output and inflation with lags
```

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Monetary transmission is the chain through which policy signals and liquidity conditions alter financial prices, balance sheets, expectations, demand, output and inflation.

ANSWER-GRABBING LINE

Transmission is not one pass-through coefficient but five interacting channels whose speed and distribution depend on financial structure.

MUST-WRITE KEYWORDS

- interest-rate channel
- credit channel
- expectations
- exchange rate
- asset prices
- lags
- pass-through
- financial conditions

CORE EXPLANATION

The interest-rate channel moves from WACR and market yields to deposit and loan pricing. The credit channel changes bank funding, borrower net worth and collateral capacity. Communication affects expected inflation and future rates, influencing contracts before actual spending changes. Exchange-rate effects work through relative returns, capital flows, imported prices and net exports, but RBI does not target a fixed rupee level. Asset-price changes affect wealth, financing costs and collateral. Transmission is state-dependent: healthy banks, competitive deposits and strong borrower balance sheets accelerate it; stress, administered savings rates, risk aversion and weak demand impede it.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Repo effectiveness depends on the financial system translating a short-term price signal into economy-wide financial conditions.
- **Named evidence:** Economic Survey 2025-26 linked the 2025 easing cycle, CRR cuts and OMOs with lower bank lending rates; RBI's August 2026 statement separately reported overnight alignment and moderated credit-market transmission.
- **Analysis:** The evidence shows why money-market transmission can be strong while retail loan or deposit pass-through remains partial and lagged.
- **Qualification:** Correlation after a rate move is not enough; fiscal demand, global yields, bank competition and borrower risk can move rates simultaneously.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Economic Survey 2025-26 linked the 2025 easing cycle, CRR cuts and OMOs with lower bank lending rates; RBI's August 2026 statement separately reported overnight alignment and moderated credit-market transmission.
Prelims trap	A 25-basis-point repo change does not guarantee an equal, immediate change in every loan rate.
Mains use	Trace at least three channels, identify frictions, and end with lags and distribution.

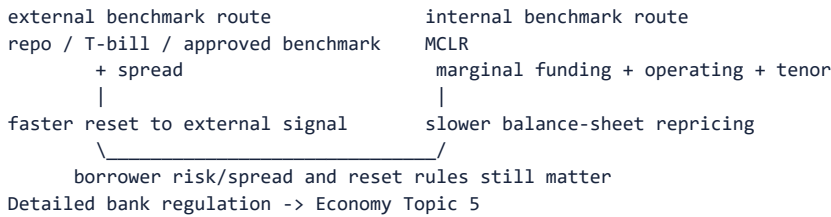
MINI RECAP

- Policy moves financial conditions before final demand.
- Channels interact and differ by borrower.
- Pass-through is neither immediate nor uniform.

SESSION 13 - External benchmark lending, MCLR and bounded banking cross-link

VISUAL FIRST

FLOATING-RATE LOAN PRICING



Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

An external benchmark lending rate links specified floating-rate loans to an observable external rate, while the marginal cost of funds based lending rate (MCLR) is an internal bank benchmark.

ANSWER-GRABBING LINE

Benchmark reform can quicken repricing, but transmission still depends on spreads, reset dates, deposit costs, competition and borrower risk.

MUST-WRITE KEYWORDS

- EBLR
- external benchmark
- MCLR
- spread
- reset frequency
- marginal funding cost
- transmission
- Topic 5

CORE EXPLANATION

RBI required specified new floating-rate retail and MSME loans of scheduled commercial banks to link to an external benchmark from October 2019, improving visibility and speed of pass-through. MCLR remains an internal benchmark shaped by marginal funding cost, operating cost, reserve requirements and tenor premium. Existing loan cohorts, fixed-rate contracts and excluded categories do not all reset identically. A spread can change only under applicable rules and credit-risk conditions; therefore the benchmark is not the final lending rate. RBI's August 2026 publication described draft harmonisation proposals on interest-rate directions as proposals, not final rules.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** External benchmarking strengthens the first mile of retail transmission without eliminating bank-specific pricing.
- **Named evidence:** RBI Annual Report 2025-26 credits the external benchmark regime introduced in October 2019 with supporting transmission; the August 2026 proposal sought greater harmonisation and transparency.
- **Analysis:** Observable benchmarks reduce discretion in the benchmark component, while credit spreads and funding structures preserve heterogeneity in actual borrower rates.
- **Qualification:** Detailed loan-pricing regulation and institution coverage belong to Topic 5; do not present an August 2026 draft as final law.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI Annual Report 2025-26 credits the external benchmark regime introduced in October 2019 with supporting transmission; the August 2026 proposal sought greater harmonisation and transparency.
Prelims trap	EBLR is not the same as repo and MCLR has not vanished from every loan contract.
Mains use	Use this bounded cross-link to explain why institutional design affects transmission speed.

MINI RECAP

- Benchmark plus spread equals the lending rate.
- External linkage improves transparency, not uniform pricing.
- Draft and final regulatory status must be separated.

SESSION 14 - Tightening, easing, real policy rate, neutral rate and stance

VISUAL FIRST

POLICY DIAGNOSIS

repo up / liquidity firmer → tightening pressure

repo down / liquidity easier → easing pressure

approx real policy rate = nominal repo - expected inflation

compare with neutral real rate r^* (unobservable estimate)

POLICY STANCE != TODAY'S LIQUIDITY POSITION

neutral stance can coexist with surplus or deficit liquidity operations

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Tightening and easing describe changes in policy restraint; the real policy rate adjusts the nominal rate for expected inflation, while the neutral real rate is an uncertain estimate consistent with output near potential and stable inflation.

ANSWER-GRABBING LINE

A credible stance diagnosis must combine the rate path, expected inflation, communication and liquidity implementation rather than read one auction in isolation.

MUST-WRITE KEYWORDS

- **tightening**
- **easing**
- **real policy rate**
- **expected inflation**
- **neutral rate**
- **r^***
- **policy stance**
- **liquidity stance**

CORE EXPLANATION

A rate increase normally tightens price conditions; a cut normally eases them, but inherited liquidity, forward guidance and market expectations can amplify or offset the move. The approximate ex ante real policy rate is nominal repo minus expected inflation, not current realised inflation by default. The neutral real rate cannot be observed directly and changes with productivity, savings, demographics, fiscal conditions and global risk. Policy stance communicates the MPC's orientation; liquidity stance describes reserve conditions and RBI operations. On 5 August 2026 the stance was neutral while system liquidity since the June meeting averaged a surplus, illustrating the distinction.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Monetary restrictiveness is a configuration, not a label attached mechanically to one nominal rate.
- **Named evidence:** The August 2026 RBI statement combined a neutral stance, unchanged 5.25 per cent repo and average daily surplus liquidity of Rs 1.0 lakh crore since the June meeting.
- **Analysis:** The configuration allowed RBI to keep the rate signal unchanged while using two-way operations to align WACR and accommodate autonomous liquidity.
- **Qualification:** Neither the observed real rate nor an estimated neutral rate proves the stance without considering expectations, gaps, credit conditions and uncertainty.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The August 2026 RBI statement combined a neutral stance, unchanged 5.25 per cent repo and average daily surplus liquidity of Rs 1.0 lakh crore since the June meeting.
Prelims trap	Surplus liquidity does not automatically mean an accommodative MPC stance.
Mains use	Discuss stance through nominal rate, expected inflation, r-star uncertainty, liquidity and communication.

MINI RECAP

- Real rate is ex ante when used for decisions.
- Neutral rate is estimated, not announced fact.
- Policy and liquidity stances are related but distinct.

SESSION 15 - Inflation-growth trade-offs, supply shocks and policy coordination

VISUAL FIRST

INFLATION DIAGNOSIS

demand broadening -> monetary restraint relatively effective
supply shock -> rate policy contains second rounds, not missing supply

MONETARY: expectations, demand, exchange-rate pass-through

FISCAL/SUPPLY: tax, buffers, imports, logistics, targeted support

COORDINATION WITHOUT FISCAL DOMINANCE

credible anchor + protected supply + sustainable borrowing

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

The inflation-growth trade-off is conditional on the shock: demand excess, supply loss, financial stress and external spillovers require different policy mixes.

ANSWER-GRABBING LINE

The task is not to choose inflation or growth abstractly, but to allocate instruments to the source of inflation while preventing temporary shocks from becoming persistent.

MUST-WRITE KEYWORDS

- demand shock
- supply shock
- second-round effects
- output cost
- fiscal dominance
- policy mix
- targeted support
- expectations

CORE EXPLANATION

Tightening can restrain demand, anchor expectations and support relative returns, but it cannot produce food, fuel or logistics capacity. During a supply shock, the central bank may tolerate the first-round relative-price effect yet resist wage-price and expectations generalisation; government can release buffers, adjust taxes or trade measures, improve logistics and target relief. Excessive fiscal demand or debt-market pressure can weaken monetary transmission, while abrupt monetary restraint can raise borrowing costs and investment losses. Coordination means consistent objectives, information and instrument assignment, not subordination of the MPC to deficit financing.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Flexible inflation targeting is most defensible when monetary policy controls persistence and government repairs supply.
- **Named evidence:** The August 2026 MPC attributed much of the inflation rise to food and fuel, retained neutral stance, and noted complementary government supply measures.
- **Analysis:** Holding rates while monitoring second-round effects avoided pretending that repo could create supply, yet preserved readiness if expectations or core pressures broadened.
- **Qualification:** A supply label does not justify permanent inaction; persistence, breadth, expectations and exchange-rate pass-through can turn relative shocks into general inflation.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The August 2026 MPC attributed much of the inflation rise to food and fuel, retained neutral stance, and noted complementary government supply measures.
Prelims trap	Do not claim monetary policy is useless against supply shocks or that fiscal coordination means RBI must finance deficits.
Mains use	Organise evaluation by shock, instrument assignment, lag, distribution and credibility.

MINI RECAP

- Demand and supply inflation need different mixes.
- Monetary policy limits second rounds.
- Coordination is compatible with statutory independence.

SESSION 16 - Exchange-rate spillovers, forex intervention and sterilisation

VISUAL FIRST

RBI SELLS FX → receives rupees → domestic liquidity contracts
RBI BUYS FX → pays rupees → domestic liquidity expands
|
STERILISATION offsets rupee-liquidity effect
OMO / VRRR / SDF / MSS / swap as appropriate
|
OBJECTIVE: curb excessive volatility/disorderly movement
NOT: defend a permanently fixed rupee-dollar level

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

Foreign-exchange intervention changes RBI's foreign assets and domestic rupee liquidity; sterilisation is a separate operation that offsets the domestic-liquidity effect.

ANSWER-GRABBING LINE

Intervention addresses disorderly currency conditions, while sterilisation protects the domestic monetary stance from the intervention's reserve effect.

MUST-WRITE KEYWORDS

- **forex intervention**
- **rupee liquidity**
- **sterilisation**
- **market-determined rate**
- **excessive volatility**
- **imported inflation**
- **capital flows**
- **reserve adequacy**

CORE EXPLANATION

An RBI purchase of foreign currency generally supplies rupees; a sale absorbs rupees. If that liquidity effect conflicts with domestic policy, RBI can offset it through securities or absorption operations. Intervention may smooth overshooting, support orderly markets and limit disruptive imported-inflation pass-through, but it uses reserves and can affect liquidity, yields and expectations. Interest-rate changes also influence relative returns and the exchange rate, yet India's stated approach remains market determination with action against excessive volatility, speculation and disorderly movement. Sterilisation refers to the offset, not the original forex transaction.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** External stability and domestic liquidity are linked through RBI's balance sheet but remain distinct policy decisions.
- **Named evidence:** The 5 August 2026 Governor's statement reaffirmed market determination with intervention against excessive volatility; RBI's framework retains OMOs and forex swaps for durable liquidity.
- **Analysis:** The balance-sheet link explains why capital inflows or reserve sales can require separate domestic operations even when the repo stance is unchanged.
- **Qualification:** Intervention cannot permanently defeat fundamentals, and reserve accumulation or depletion carries valuation, income and adequacy considerations.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 5 August 2026 Governor's statement reaffirmed market determination with intervention against excessive volatility; RBI's framework retains OMOs and forex swaps for durable liquidity.
Prelims trap	Do not call every forex sale sterilisation or claim RBI targets a fixed exchange rate.
Mains use	Trace the FX leg, rupee-liquidity leg, sterilisation choice and limits.

MINI RECAP

- Intervention changes forex assets and rupee reserves.
- Sterilisation offsets the domestic liquidity effect.
- RBI smooths disorderly movement; it does not promise a peg.

SESSION 17 - RBI balance sheet, income, seigniorage and surplus

VISUAL FIRST

RBI BALANCE SHEET

ASSETS

foreign securities/reserves
domestic government securities
loans/liquidity operations
gold and other assets

LIABILITIES

banknotes issued
government deposits
bank deposits/reserves
capital, reserves, revaluation

|
income: interest/market/forex operations and fees
minus expenses + risk provisions -> transferable surplus
seigniorage benefit != face value of notes as annual profit

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

A central-bank balance sheet records monetary liabilities against domestic and foreign assets; seigniorage is the economic resource gain from issuing non-interest-bearing base money, not the face value of currency printed.

ANSWER-GRABBING LINE

RBI income must be read through assets, liabilities, valuation and risk provisioning, not through the false claim that printed notes are revenue.

MUST-WRITE KEYWORDS

- notes issued liability
- foreign assets
- government securities
- revaluation account
- seigniorage
- currency cost

- risk provision
- surplus transfer

CORE EXPLANATION

Banknotes issued appear as RBI liabilities; banks' and governments' deposits are liabilities too. Assets include foreign currency assets, gold, domestic government securities and liquidity-related claims. Income arises mainly from returns on domestic and foreign assets, liquidity operations and specified fees; valuation gains may enter revaluation accounts rather than distributable realised income. Currency issuance provides seigniorage because a low-cost monetary liability finances interest-bearing assets, but printing cost, currency management, inflation and demand for cash qualify the gain. Surplus is transferred to the Central Government only after expenses and risk provisioning under the applicable framework.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** RBI profitability reflects the structure and valuation of its balance sheet, not commercial-bank deposit intermediation.
- **Named evidence:** RBI Annual Report 2025-26 separately presents notes issued as liabilities, domestic and foreign assets, income, expenditure, risk provisions and surplus transfer.
- **Analysis:** This accounting explains why buying government securities or foreign currency can generate income, while printing and distributing a note creates a liability and cost as well as a seigniorage benefit.
- **Qualification:** Seigniorage is an economic concept; it should not be equated mechanically with RBI's reported annual accounting surplus.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI Annual Report 2025-26 separately presents notes issued as liabilities, domestic and foreign assets, income, expenditure, risk provisions and surplus transfer.
Prelims trap	Currency notes are not RBI income, and unrealised valuation gains are not automatically distributable cash profit.
Mains use	Use a two-sided balance-sheet diagram to connect liquidity, intervention, risk and surplus.

MINI RECAP

- Notes issued sit on the liability side.
- Asset returns are major income sources.
- Seigniorage and accounting surplus are related but not identical.

SESSION 18 - Integrated decision route and Topic 3/Topic 5 boundaries

VISUAL FIRST

1 DIAGNOSE: demand / supply / external / financial stress
|
2 ASSIGN: Government target | MPC repo | RBI implementation
|
3 OPERATE: corridor + transient/durable liquidity
|
4 TRANSMIT: rates + credit + expectations + FX + assets
|
5 TEST: inflation breadth, growth, distribution, stability, lags
|
6 QUALIFY: supply limits, solvency, fiscal/external constraints
Cross-links: inflation measurement -> Topic 3 | banking architecture -> Topic 5

Visual purpose: fix the decision path and close-option distinctions before prose.

DEFINITION

An integrated monetary-policy answer moves from diagnosis and legal authority to instrument mechanics, transmission, outcome and limitation.

ANSWER-GRABBING LINE

The examiner rewards a decision route: diagnose the shock, identify the authorised actor, choose the instrument, trace the channel and qualify the result.

MUST-WRITE KEYWORDS

- diagnosis
- actor
- instrument
- transmission
- lag
- distribution
- financial stability
- qualified verdict
- cross-link

CORE EXPLANATION

Begin with inflation source and output/financial conditions. State that the Central Government notifies the target in consultation with RBI, the MPC determines repo, and RBI implements through liquidity and communication. Distinguish transient from durable liquidity, then trace interest-rate, credit, expectations, exchange-rate and asset-price channels. Test pass-through against bank funding, borrower health, fiscal stance, global yields and supply constraints. End with distribution, lags and institutional limits. Use Topic 3 only for price-index and inflation diagnosis, and Topic 5 for bank types, NBFC perimeter and prudential regulation.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A good monetary-policy answer is a sequence of accountable choices rather than a list of instruments.
- **Named evidence:** The August 2026 decision, 2025 liquidity framework and statutory FIT provisions jointly display target setting, committee choice, implementation and publication.
- **Analysis:** Combining them prevents category errors such as attributing the target to MPC, corridor auctions to the Central Government, or bank capital repair to a repo cut.
- **Qualification:** No single framework removes uncertainty; forecasts, neutral-rate estimates, transmission lags and supply responses remain imperfect.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The August 2026 decision, 2025 liquidity framework and statutory FIT provisions jointly display target setting, committee choice, implementation and publication.
Prelims trap	Do not duplicate Topic 3's index methodology or Topic 5's banking taxonomy inside a monetary-policy answer.
Mains use	Use the six-step route as an introduction-to-conclusion spine for 10, 15 or 20 marks.

MINI RECAP

- Diagnose before prescribing.
- Separate Government, MPC and RBI roles.
- Conclude with mechanism, limits and coordination.

Practice contract: Correct answers follow ABCD repeated eight times. Every distractor has a question-specific explanation; no declared count substitutes for independent validation.

BASIC MCQS / REMEDIATION

MCQ 1

Which sequence correctly states RBI's institutional chronology?

- A. RBI Act 1934; operations 1 April 1935; public ownership 1 January 1949
- B. Operations 1934; nationalisation 1935; RBI Act 1949
- C. Hilton-Young Commission nationalised RBI in 1926
- D. RBI became a constitutional body in 1950

Answer: A.

Option-specific explanations:

- **A - Correct:** The Act preceded commencement, and the 1948 transfer law took effect on 1 January 1949.
- **B - Incorrect:** 1934 was the enactment year, not the start of business; 1935 was not nationalisation.
- **C - Incorrect:** The commission recommended central-banking reform but did not itself create or nationalise RBI.
- **D - Incorrect:** The Constitution did not convert RBI into a constitutional authority.

Examiner trap 1: Chronology and legal instrument must both be correct.

MCQ 2

Which statement best describes RBI's autonomy?

- A. Government ownership means the Finance Ministry casts every MPC vote
- B. RBI has statutory operational autonomy subject to legislation and accountability
- C. Section 7 makes RBI a private corporation
- D. The Central Board can amend the RBI Act

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Ownership does not merge the Ministry with the statutory decision process.
- **B - Correct:** RBI exercises expert powers within statute, while Section 7 and accountability prevent claims of absolute sovereignty.
- **C - Incorrect:** Section 7 concerns public-interest directions after consultation; it does not create private ownership.
- **D - Incorrect:** Only Parliament can amend the Act; the Board administers powers granted by law.

Examiner trap 2: Avoid the false binary of complete dependence versus absolute independence.

MCQ 3

Who issues the one-rupee note in India?

- A. RBI Issue Department
- B. MPC Secretariat
- C. Government of India
- D. Scheduled commercial banks

Answer: C.

Option-specific explanations:

- **A - Incorrect:** RBI issues other banknotes, but the one-rupee note is the statutory exception.
- **B - Incorrect:** The MPC decides the policy rate and has no currency-issue role.
- **C - Correct:** The Government of India issues the one-rupee note, making this the correct exception.
- **D - Incorrect:** Commercial banks distribute currency but do not issue legal-tender notes.

Examiner trap 3: RBI's note-issue monopoly has the one-rupee note exception.

MCQ 4

Which is outside RBI's own statutory function?

- A. Managing foreign-exchange reserves
- B. Operating central-bank liquidity facilities
- C. Regulating assigned payment systems
- D. Voting the Union Budget into law

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Reserve management is a central-bank function.
- **B - Incorrect:** Liquidity implementation belongs to RBI under the monetary framework.
- **C - Incorrect:** Payment oversight follows the Payment and Settlement Systems Act.
- **D - Correct:** Parliament authorises the Union Budget; RBI may advise or manage debt but does not enact fiscal law.

Examiner trap 4: Banker to government is not the same as legislature or fiscal authority.

MCQ 5

Under section 45ZA, who determines the inflation target?

- A. Central Government in consultation with RBI
- B. MPC alone
- C. RBI Central Board without government
- D. Finance Commission

Answer: A.

Option-specific explanations:

- **A - Correct:** The statute assigns determination to the Central Government after consultation with the Bank.
- **B - Incorrect:** MPC determines the policy rate required to achieve the notified target.
- **C - Incorrect:** The Central Board cannot bypass the statutory governmental notification role.
- **D - Incorrect:** The Finance Commission recommends fiscal devolution, not the monetary-policy target.

Examiner trap 5: Separate target setter from policy-rate decision maker.

MCQ 6

What is the currently notified inflation objective for 1 April 2026-31 March 2031?

- A. A 2-6 per cent range with no centre
- B. Headline CPI 4 per cent with 2 and 6 per cent tolerance limits
- C. Core CPI exactly 4 per cent each month
- D. WPI 4 per cent plus or minus 2

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The range alone omits the statutory point target at its centre.
- **B - Correct:** The 25 March 2026 Gazette renewal retained headline CPI 4 per cent and the 2-6 tolerance band.
- **C - Incorrect:** Core inflation is analytical; the notified anchor is headline CPI and monthly equality is not required.
- **D - Incorrect:** WPI is not the statutory inflation target.

Examiner trap 6: Four per cent is the target; 2-6 per cent is the tolerance band.

MCQ 7

Which statement about flexible inflation targeting is correct?

- A. Growth legally overrides price stability
- B. Any supply shock must cause an immediate rate rise
- C. Price stability is primary while growth is kept in mind
- D. The target is reviewed by MPC every year

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The statutory wording gives primacy to price stability.
- **B - Incorrect:** Shock source and second-round risk matter; mechanical action is not required.
- **C - Correct:** This reproduces the amended RBI Act's objective accurately.
- **D - Incorrect:** The Central Government determines the target in consultation with RBI once every five years.

Examiner trap 7: Flexible does not mean target-free or growth-first.

MCQ 8

Which event would by itself establish statutory failure to meet the inflation target?

- A. One monthly CPI print at 6.1 per cent
- B. One quarterly projection above 6 per cent
- C. Core inflation above headline for two months
- D. Average inflation outside a tolerance limit for three consecutive quarters

Answer: D.

Option-specific explanations:

- **A - Incorrect:** A single month does not satisfy the notified failure test.
- **B - Incorrect:** A forecast is not the realised three-quarter condition.
- **C - Incorrect:** Core-headline ordering is irrelevant to the legal trigger.
- **D - Correct:** The current rules use three consecutive quarterly averages beyond the upper or lower tolerance level.

Examiner trap 8: Do not replace a three-quarter accountability trigger with a one-month breach.

MCQ 9

Which is the correct MPC composition?

- A. Governor, monetary-policy Deputy Governor, one RBI-nominated officer, three government-appointed externals
- B. Six RBI officers selected by the Governor
- C. Finance Minister plus five RBI officers
- D. Three bank chiefs and three economists

Answer: A.

Option-specific explanations:

- **A - Correct:** Section 45ZB creates this three-internal/three-external structure.
- **B - Incorrect:** The MPC is not an all-internal RBI committee.
- **C - Incorrect:** The Finance Minister is not an MPC member.
- **D - Incorrect:** Commercial-bank chiefs do not occupy statutory MPC seats as a category.

Examiner trap 9: Count both appointing channels, not merely six economists.

MCQ 10

What is true of a Central Government-appointed external MPC member?

- A. Life tenure
- B. Four-year term and no reappointment
- C. Automatic continuation until age seventy-five
- D. Removal whenever the member dissents

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The office is fixed-term, not life tenure.
- **B - Correct:** The statutory scheme gives a four-year term and bars reappointment.
- **C - Incorrect:** Age rules are eligibility screens, not an automatic extension.
- **D - Incorrect:** Policy disagreement is not a listed removal ground.

Examiner trap 10: Fixed tenure protects judgement; it does not create permanent office.

MCQ 11

What is the MPC quorum?

- A. Two members
- B. Three external members
- C. Four members including Governor or, in absence, the MPC Deputy Governor
- D. All six members without exception

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Two cannot satisfy the statutory minimum.
- **B - Incorrect:** External members alone do not satisfy the chair-side presence requirement.
- **C - Correct:** Four with the specified RBI leadership presence is the operative rule.
- **D - Incorrect:** Vacancy or absence does not always invalidate a meeting if quorum exists.

Examiner trap 11: Quorum is four, not unanimity or full attendance.

MCQ 12

When does the Governor use a casting vote?

- A. At every MPC meeting
- B. Whenever an external member dissents
- C. When inflation exceeds 4 per cent
- D. Only when ordinary votes are tied

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The Governor ordinarily has one vote like every member.
- **B - Incorrect:** Dissent alone does not produce a casting vote.
- **C - Incorrect:** Inflation outcomes do not mechanically add a vote.
- **D - Correct:** A tie activates the additional casting vote.

Examiner trap 12: Chairmanship does not mean two routine votes.

MCQ 13

Which pair is correct under the current corridor?

- A. SDF floor; MSF ceiling
- B. Reverse repo ceiling; CRR floor
- C. Bank Rate floor; SLR ceiling
- D. OMO floor; repo ceiling

Answer: A.

Option-specific explanations:

- **A - Correct:** SDF and MSF bound the symmetric corridor around repo.
- **B - Incorrect:** CRR is a reserve requirement, not a corridor price.
- **C - Incorrect:** Bank Rate is aligned with MSF currently, while SLR is an asset requirement.
- **D - Incorrect:** OMO is an outright operation and does not define a standing corridor boundary.

Examiner trap 13: Classify standing prices separately from quantity instruments.

MCQ 14

As of the 5 August 2026 MPC decision, which dated set was correct?

- A. Repo 5.00; SDF 5.25; MSF 5.50
- B. Repo 5.25; SDF 5.00; MSF and Bank Rate 5.50
- C. Repo 5.50; SDF 5.25; MSF 5.00
- D. Repo 6.50; reverse repo as floor 6.25

Answer: B.

Option-specific explanations:

- **A - Incorrect:** This reverses the centre and floor.
- **B - Correct:** The official resolution reported this configuration and neutral stance.
- **C - Incorrect:** A corridor cannot have the ceiling below the centre in this framework.
- **D - Incorrect:** These are neither the dated rates nor the current floor architecture.

Examiner trap 14: A current rate is valid only with its decision date.

MCQ 15

What is the operating target of monetary policy under the revised liquidity framework?

- A. Headline CPI
- B. Policy repo rate
- C. Overnight weighted average call rate
- D. Ten-year G-sec yield

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Headline CPI is the nominal target, not the operating market rate.
- **B - Incorrect:** Repo is the policy rate around which implementation operates.
- **C - Correct:** RBI seeks to align overnight WACR with repo using liquidity operations.
- **D - Incorrect:** Long yields matter for transmission but are not the stated operating target.

Examiner trap 15: Target, policy rate and operating target are three different concepts.

MCQ 16

Which statement about fixed-rate reverse repo is correct after SDF's introduction?

- A. It is abolished
- B. It remains the automatic corridor ceiling
- C. It equals CRR
- D. It remains in RBI's toolkit at discretion but is no longer the corridor floor

Answer: D.

Option-specific explanations:

- **A - Incorrect:** RBI explicitly retained the instrument.
- **B - Incorrect:** MSF, not FRRR, is the ceiling.
- **C - Incorrect:** A rate operation is not a reserve ratio.
- **D - Correct:** SDF replaced it as floor while FRRR remained available for specified use.

Examiner trap 16: Legacy role can change without abolishing the instrument.

MCQ 17

Which description correctly distinguishes CRR and SLR?

- A. CRR is cash with RBI; SLR is specified liquid assets maintained by the bank
- B. Both are cash deposits with RBI
- C. CRR is under Banking Regulation Act section 24 and SLR under RBI Act section 42
- D. SLR is the MPC's policy rate

Answer: A.

Option-specific explanations:

- **A - Correct:** This states both custody and instrument type correctly.
- **B - Incorrect:** SLR includes eligible liquid assets maintained by banks, not a second RBI cash balance.
- **C - Incorrect:** The statutory references are reversed.
- **D - Incorrect:** SLR is a prudential liquidity requirement, not a policy price.

Examiner trap 17: Ask where the asset is held before inferring liquidity effects.

MCQ 18

Which statement about current reserve ratios is appropriately framed?

- A. CRR can never change from 3 per cent
- B. SLR is constitutionally fixed at 18 per cent
- C. RBI data checked 9 September 2026 showed CRR 3 per cent and SLR 18 per cent
- D. The MPC alone legislates both ratios

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A current observation must not be frozen as permanent.
- **B - Correct:** SLR is statutory/regulatory but its rate is not constitutionally immutable.
- **C - Incorrect:** The date label makes the observation usable without converting it into a timeless definition.
- **D - Incorrect:** Instrument authority and legal basis are more complex than sole MPC legislation.

Examiner trap 18: Never write a current ratio without a date and source.

MCQ 19

Under the framework dated 30 September 2025, transient liquidity is managed primarily through

- A. only annual OMOs
- B. 7-day VRR/VRRR plus discretionary overnight-to-14-day operations
- C. MSS alone
- D. a permanently fixed 14-day main operation

Answer: C.

Option-specific explanations:

- **A - Incorrect:** OMOs address durable conditions and are not the sole transient tool.
- **B - Incorrect:** This is the revised operational design stated by RBI.
- **C - Correct:** MSS is a specialised sterilisation instrument.
- **D - Incorrect:** The revision discontinued the 14-day operation as the main operation.

Examiner trap 19: Operating procedures have a vintage; older LAF descriptions can be obsolete.

MCQ 20

What makes a variable-rate repo different from a fixed-rate repo?

- A. It has no counterparty
- B. The auction discovers the accepted rate from bids rather than RBI fixing the operation rate
- C. It is always an OMO purchase
- D. It necessarily changes the MPC stance

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Eligible counterparties still matter.
- **B - Incorrect:** Variable-rate bidding determines the cut-off or accepted rates.
- **C - Incorrect:** Repo remains a repurchase transaction, unlike outright OMO.
- **D - Correct:** An operational auction need not signal a stance change.

Examiner trap 20: Variable price discovery is not variable institutional purpose.

MCQ 21

An RBI OMO purchase normally

- A. injects durable liquidity by buying government securities outright
- B. absorbs liquidity through a collateral-free deposit
- C. changes CRR automatically
- D. creates fiscal tax revenue

Answer: A.

Option-specific explanations:

- **A - Correct:** RBI pays reserves and acquires securities outright.
- **B - Incorrect:** SDF, not OMO purchase, describes collateral-free standing absorption.
- **C - Incorrect:** Reserve-ratio changes require a separate decision.
- **D - Incorrect:** Central-bank asset purchases are not taxation.

Examiner trap 21: Outright purchase is the key distinction from repo.

MCQ 22

Operation Twist is best described as

- A. a foreign-exchange peg
- B. a change in the inflation target
- C. a simultaneous purchase and sale across maturities to influence the yield curve
- D. a waiver of SLR

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Twist operates in government securities, not a fixed exchange regime.
- **B - Correct:** Only the Central Government consultation/notification process changes the target.
- **C - Incorrect:** Buying longer and selling shorter securities can reshape term premia.
- **D - Incorrect:** It does not repeal a statutory liquidity requirement.

Examiner trap 22: Twist changes maturity composition; net liquidity depends on transaction design.

MCQ 23

What is distinctive about MSS?

- A. Proceeds finance ordinary expenditure immediately
- B. It is an unsecured overnight bank deposit
- C. It is identical to CRR
- D. Government securities absorb liquidity and proceeds enter a separate account restricted to redemption/buyback

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Ordinary spending would reverse the intended absorption.
- **B - Incorrect:** SDF is the standing unsecured deposit facility.
- **C - Correct:** MSS uses securities and a ring-fenced account, not bank reserve ratios.
- **D - Incorrect:** The separate identifiable account preserves the sterilisation purpose.

Examiner trap 23: MSS is jointly designed but its proceeds are not normal budget resources.

MCQ 24

Which is a transient rather than durable-liquidity driver?

- A. A temporary tax outflow into government cash balances
- B. A structural rise in currency demand lasting years
- C. A permanent change in reserve preference
- D. A sustained balance-of-payments surplus

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Short-lived tax collection can drain reserves until spending reverses it.
- **B - Incorrect:** A lasting currency shift is a durable factor.
- **C - Incorrect:** Persistent reserve preference alters the structural demand for liquidity.
- **D - Correct:** Sustained external inflows can create durable liquidity pressure.

Examiner trap 24: Classify the expected persistence, not the instrument's name alone.

MCQ 25

Reserve money M0 includes

- A. only coins
- B. currency in circulation, bankers' deposits with RBI and other RBI deposits
- C. all bank time deposits but no currency
- D. equity-market capitalisation

Answer: A.

Option-specific explanations:

- **A - Correct:** Coins alone are only one narrow component of money.
- **B - Incorrect:** These are the standard liability-side components of reserve money.
- **C - Incorrect:** Time deposits are part of broad money such as M3, not M0.
- **D - Incorrect:** Market capitalisation is an asset valuation, not money stock.

Examiner trap 25: Reserve money is broader than currency but narrower than broad money.

MCQ 26

Which formula is an empirical money multiplier?

- A. $M0/M3$
- B. CRR/SLR
- C. $M3/M0$
- D. repo minus WACR

Answer: B.

Option-specific explanations:

- **A - Incorrect:** This is the inverse of the conventional broad-money multiplier.
- **B - Correct:** Two reserve ratios do not themselves form the observed multiplier.
- **C - Incorrect:** Broad money divided by reserve money gives the multiplier ratio.
- **D - Incorrect:** The rate gap measures alignment, not money multiplication.

Examiner trap 26: Do not substitute the classroom $1/r$ identity for the observed $M3/M0$ ratio.

MCQ 27

Why is 1/CRR an incomplete description of money creation?

- A. Currency leakage, excess reserves, capital, risk, funding and credit demand also matter
- B. CRR has no connection to bank reserves
- C. Banks can lend infinitely without capital
- D. Loans never create deposits

Answer: C.

Option-specific explanations:

- **A - Incorrect:** These behavioural and regulatory constraints break the mechanical assumptions.
- **B - Incorrect:** CRR affects reserve space even though it is not the sole determinant.
- **C - Correct:** Capital and risk rules impose real limits.
- **D - Incorrect:** Bank lending commonly creates a matching deposit before reserve settlement.

Examiner trap 27: Endogenous credit does not mean unconstrained credit.

MCQ 28

Which case is primarily a solvency problem?

- A. A sound bank has a one-day settlement mismatch
- B. System WACR briefly rises above repo
- C. A bank's asset losses exceed its capital and viable earnings
- D. Government spending temporarily drains its RBI balance

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Temporary timing can be addressed with liquidity.
- **B - Incorrect:** WACR alignment is a market-liquidity issue.
- **C - Incorrect:** Negative net worth or unviable assets require capital or resolution, not cash alone.
- **D - Correct:** Government cash movement is an autonomous system-liquidity driver.

Examiner trap 28: Emergency liquidity cannot manufacture capital.

MCQ 29

Which is an expectations-channel effect?

- A. A credible statement changes wage and price setting before realised demand changes
- B. RBI physically builds a warehouse
- C. SLR securities become CRR cash automatically
- D. MPC fixes every retail loan spread

Answer: A.

Option-specific explanations:

- **A - Correct:** Forward guidance and credibility can alter contracts and pricing today.
- **B - Incorrect:** Storage is a supply-side responsibility.
- **C - Incorrect:** The two requirements retain separate legal and asset forms.
- **D - Incorrect:** Banks price spreads within regulation and risk conditions.

Examiner trap 29: Expectations can transmit before balance-sheet quantities visibly move.

MCQ 30

Which statement about EBLR and MCLR is correct?

- A. EBLR is always the borrower's final rate
- B. MCLR is an external market yield
- C. External benchmarking can quicken reset, but spreads and coverage still matter
- D. MCLR has been abolished for every existing loan

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The final rate normally includes a spread.
- **B - Correct:** MCLR is an internal benchmark based on bank costs and tenor.
- **C - Incorrect:** This captures both improved pass-through and remaining heterogeneity.
- **D - Incorrect:** Legacy and excluded contracts mean MCLR has not disappeared universally.

Examiner trap 30: Benchmark, spread and reset date must be separated.

MCQ 31

An approximate ex ante real policy rate is

- A. nominal repo minus expected inflation
- B. nominal repo plus realised inflation
- C. SDF minus CRR
- D. GDP growth minus SLR

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Decision-making compares the nominal rate with expected inflation.
- **B - Incorrect:** Adding inflation reverses the Fisher intuition and realised inflation may not represent expectations.
- **C - Correct:** These are unlike units and instrument categories.
- **D - Incorrect:** Growth and a reserve ratio do not define a real interest rate.

Examiner trap 31: State whether inflation is expected or realised.

MCQ 32

Which statement best distinguishes policy stance from liquidity stance?

- A. They are always identical
- B. A neutral MPC stance can coexist with surplus liquidity managed by two-way operations
- C. Surplus liquidity legally requires a rate cut
- D. A VRRR auction permanently changes the inflation target

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Rate orientation and reserve conditions can diverge.
- **B - Incorrect:** The August 2026 configuration illustrated neutral stance with average surplus liquidity.
- **C - Incorrect:** Liquidity can arise from autonomous flows without dictating MPC action.
- **D - Correct:** An auction implements liquidity policy; it does not amend the Gazette target.

Examiner trap 32: Read stance, rate and liquidity as separate signals.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ ROUTES AND OFFICIAL-KEY DISCIPLINE

The repository routes objective UPSC demands to this owner. Exact wording and a final answer are supplied only where both are locally verified. Where the official final key is absent or provisional, the required sentence is used without inference.

PYQ 1 - UPSC Prelims 2025, GS Paper I, Set A, Question 2

Which of the following are the sources of income for the Reserve Bank of India?

I. Buying and selling Government bonds II. Buying and selling foreign currency III. Pension fund management IV. Lending to private companies V. Printing and distributing currency notes

Select the correct answer using the code given below.

- A. I and II only
- B. I, II and IV
- C. I, III, IV and V
- D. I, II and V

Official Set-A key: D.

Solution: Transactions in government securities and foreign currency generate returns or gains. Currency issuance creates seigniorage benefits even though notes issued are liabilities and printing/distribution also costs money. Pension-fund management is not an ordinary RBI income source, and lending to private companies is not a general central-bank business line.

Examiner caution: The official key does not justify saying the face value of every printed note is annual accounting profit.

PYQ 2 - UPSC Prelims 2026, GS Paper I, Question 98

Verified demand: Indian financial-sector reform committees and their institutional sponsors.

Answer withheld pending official UPSC key.

Concept route: Hilton-Young concerns colonial currency and central-bank reform; Narasimham Committees were Government of India banking-reform committees; Tarapore Committees were constituted by RBI on capital-account convertibility. Preserve the provisional status of the local 2026 key.

HISTORICAL ROUTED OBJECTIVE DEMANDS

Year / question	Verified demand	Key status and solution discipline
2018 Q46	Legal-tender money definition and characteristics	Answer withheld pending official UPSC key. Revise legal compulsion, issuer and liability distinction.
2019 Q86	Government and RBI measures against rupee depreciation	Answer withheld pending official UPSC key. Separate monetary, intervention, trade and capital-flow measures.
2019 Q87	RBI payment-data storage direction	Answer withheld pending official UPSC key. Treat it as a payment-system regulatory direction, not general data law.
2019 Q90	Conditions raising the money multiplier	Answer withheld pending official UPSC key. Test reserve, currency leakage, excess reserve and lending behaviour.
2020 Q57	Expansionary monetary-policy instruments	Answer withheld pending official UPSC key. Distinguish rate cuts, CRR cuts, OMO purchases and liquidity facilities.
2021 Q1	RBI Governor appointment and constitutional powers	Answer withheld pending official UPSC key. RBI is statutory; appointment does not create constitutional status.
2021 Q11	Money multiplier and reserve ratios	Answer withheld pending official UPSC key. Reject a universal mechanical multiplier.
2021 Q15	Lender of last resort	Answer withheld pending official UPSC key. Separate temporary liquidity from solvency support.
2022 Q3	RBI tools and rupee management	Answer withheld pending official UPSC key. RBI smooths disorderly movement without a fixed-rate target.
2022 Q68	Institution responsible for price stability	Answer withheld pending official UPSC key. Distinguish the notified target, MPC rate decision and RBI implementation.
2023 Q22	Post-pandemic central-bank rate increases	Answer withheld pending official UPSC key. Trace inflation expectations, demand and exchange spillovers.
2023 Q24	Sterilisation and OMOs	Answer withheld pending official UPSC key. Distinguish forex intervention from its domestic-liquidity offset.

Boundary note: The 2024 NBFC/LAF question is owned by Economy Topic 5. This topic uses it only as a reminder that facility access is counterparty-specific.

ORIGINAL MAINS 1 - 10 MARKS

Question: Explain why liquidity management remains necessary after the MPC announces the policy repo rate. Answer in 150 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** policy signal -> dated operating framework -> transmission analysis -> qualification.
- **Validated native-body count:** 143 alphanumeric words.

Model answer

Liquidity management remains necessary because the MPC's repo decision is a policy signal, whereas banks settle reserves at the overnight weighted average call rate, or WACR. RBI operations must keep WACR near repo so that the signal reaches money-market yields and lending conditions.

The RBI liquidity framework dated 30 September 2025 identifies seven-day VRR or VRRR as the principal tool for transient mismatches caused by currency demand, tax flows, government balances or settlements. SDF and MSF bound the corridor; persistent imbalances may require OMOs, longer operations or forex swaps. This distinction matches instrument tenor to the liquidity shock.

Operational alignment therefore prevents accidental tightening or easing and supports the interest-rate channel. However, liquidity management implements rather than changes the MPC stance. Even perfect WACR alignment cannot guarantee final transmission because deposit costs, bank capital, risk pricing and credit demand still condition loan rates.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish liquidity support from solvency support in central banking. Answer in 150 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** definitions -> Bagehot principle -> institutional response -> distributional qualification.
- **Validated native-body count:** 145 alphanumeric words.

Model answer

Liquidity is the capacity to meet payments when due; solvency means assets and sustainable earnings exceed liabilities. A sound bank can still face a temporary reserve shortage because its assets are long-dated or illiquid. RBI repo or lender-of-last-resort support can bridge that timing mismatch, prevent fire sales and protect payment-system continuity.

An insolvent bank has losses that have eroded capital. Additional cash cannot repair impaired assets; support may merely conceal losses and create moral hazard. The appropriate response is recapitalisation, restructuring or resolution with loss allocation, although temporary liquidity may still be needed for an orderly process.

Bagehot's lender-of-last-resort principle supports lending against good collateral at a penalty rate. In practice, collateral, haircuts, pricing, supervision and an exit plan should discipline assistance. The qualification is distributional: aggregate banking-system surplus does not prove every institution is liquid or solvent because reserves and confidence are unevenly distributed.

ORIGINAL MAINS 3 - 15 MARKS

Question: Examine the statutory design and accountability of India's flexible inflation-targeting framework. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** statutory anchor -> institutional design -> accountability -> supply-shock qualification.
- **Validated native-body count:** 216 alphanumeric words.

Model answer

India's flexible inflation-targeting framework rests on the RBI Act, 1934 as amended in 2016. Section 45ZA assigns the Central Government, in consultation with RBI, the five-year notification of the consumer-price-index target. The Gazette notification dated 25 March 2026 retained 4 per cent inflation with 2 and 6 per cent tolerance limits for April 2026-March 2031.

Section 45ZB establishes a six-member MPC: the Governor, monetary-policy Deputy Governor, one RBI officer nominated by the Central Board, and three Central Government appointees. External members have four-year non-renewable terms. Each member votes; the Governor has a casting vote only on a tie. Quorum is four, including the Governor or the MPC Deputy Governor.

The MPC determines the policy repo rate; RBI implements the decision and manages liquidity, while the Government neither votes on individual rate decisions nor conducts daily operations.

Accountability follows publication and explanation. RBI releases the resolution, votes and statements; minutes follow on the fourteenth day and the Monetary Policy Report every six months. Under section 45ZN, three consecutive quarterly-average breaches require RBI to report reasons, remedies and the estimated return horizon to Government.

The design supplies a credible nominal anchor while permitting growth-sensitive adjustment. However, accountability is not mechanical rate action: food, fuel and external supply shocks require diagnosis, complementary fiscal-supply measures and vigilance against second-round persistence.

ORIGINAL MAINS 4 - 15 MARKS

Question: Analyse the channels and frictions of monetary-policy transmission in India. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** operating impulse -> five channels -> India-specific frictions -> evidence -> qualification.
- **Validated native-body count:** 215 alphanumeric words.

Model answer

Monetary transmission begins when the MPC's repo decision and communication alter expected short-term rates, while RBI liquidity operations align overnight WACR with repo. The impulse then travels through five channels: interest rates affect consumption and investment; credit conditions alter loan supply; expectations influence wages and prices; exchange-rate movements affect imported inflation and net exports; and asset prices alter wealth and financing conditions.

India's external-benchmark regime accelerates repricing for specified floating-rate retail and MSME loans, whereas MCLR remains an internal cost benchmark for relevant loans. Yet transmission is uneven because deposit competition, administered small-savings rates, legacy fixed-rate contracts, bank capital, asset quality, borrower risk, fiscal borrowing and global yields affect funding costs or spreads.

A repo cut can therefore lower the overnight rate quickly while deposit and loan repricing remain partial, delayed or offset by independent risk premia.

Economic Survey 2025-26 associated repo easing, CRR reduction and OMOs with softer lending rates, while RBI's August 2026 statement still described credit-market transmission as moderated. This evidence shows that WACR alignment is necessary but insufficient.

Therefore effective transmission requires sound bank balance sheets, transparent benchmarks, competitive funding markets and credible communication. The qualification is temporal and structural: policy works with variable lags, and loan rates may move differently across borrowers without implying that the repo signal failed entirely.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically evaluate RBI's toolkit for managing transient and durable liquidity while preserving the monetary-policy signal. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** operating objective -> transient tools -> durable tools -> costs -> qualified prescription.

- **Validated native-body count:** 218 alphanumeric words.

Model answer

RBI should manage liquidity so overnight WACR remains near the policy repo rate without confusing reserve operations with the MPC stance. The revised framework dated 30 September 2025 makes seven-day VRR or VRRR the principal response to transient mismatches from currency demand, taxes, government balances and settlements. Other overnight-to-fourteen-day operations remain discretionary. SDF provides collateral-free standing absorption at the floor, while MSF supplies collateralised overnight funds at the ceiling.

Durable liquidity requires balance-sheet tools. OMO purchases inject reserves outright and sales absorb them; longer variable-rate operations and forex swaps address persistent needs. Operation Twist changes the maturity composition of RBI holdings, so its net liquidity effect depends on design. Under MSS, securities absorb surplus while proceeds remain ring-fenced rather than financing expenditure.

For example, a durable shortage treated only with repeated short repos can leave banks dependent on refinancing and distort the operating signal.

The toolkit preserves transmission only when diagnosis is correct. Persistent surplus may weaken pass-through or encourage leverage; repeated deficits may raise volatility. OMOs interact with government borrowing, forex operations may require sterilisation, and CRR is powerful but blunt.

Hence RBI should distinguish transient from durable shocks, communicate two-way operations and assess success through WACR alignment plus broader transmission. Gross injection or absorption alone is misleading because liquidity stance and policy stance can legitimately diverge.

ORIGINAL MAINS 6 - 20 MARKS

Question: Discuss the inflation-growth-exchange-rate trade-offs facing monetary policy after a supply shock. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** trade-off -> MPC diagnosis -> external spillovers -> fiscal assignment -> qualified strategy.
- **Validated native-body count:** 213 alphanumeric words.

Model answer

A supply shock raises prices while weakening output; aggressive tightening can deepen the slowdown without producing food, fuel or logistics capacity. Yet inaction may let a temporary relative-price rise spread into expectations, wages, margins and exchange-rate depreciation.

The MPC should diagnose persistence and breadth. If demand is contained and expectations anchored, it can look through part of the first-round effect while communicating conditional vigilance. If core pressures or expectations broaden, tighter policy can restrain demand and defend the 4 per cent anchor. The ex ante real policy rate and uncertain neutral rate inform this judgement but cannot determine it mechanically.

External spillovers sharpen the trade-off. Higher global yields or oil prices may weaken the rupee and raise imported inflation. RBI may smooth excessive volatility through forex intervention, but India does not target a fixed exchange rate. Since intervention changes rupee liquidity, separate sterilisation may be required.

Government should address the shock through buffers, calibrated taxes or trade policy, logistics and targeted relief, while avoiding a fiscal impulse that frustrates disinflation. Coordination means consistent diagnosis and instrument assignment, not fiscal dominance.

Thus flexible inflation targeting should protect credibility against second-round effects while minimising avoidable output loss. The qualification is shock-specific: demand-driven inflation warrants firmer monetary restraint than a reversible supply disruption with anchored expectations.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

1. Corridor microstructure and distribution

WACR can be close to repo while individual participants pay different rates because collateral, access, counterparty limits and reserve distribution differ. The operating target is an aggregate price, not proof that every institution faces identical liquidity.

2. Term structure and expectations

Long yields reflect expected future short rates, term premia, inflation risk, government-security supply and global yields. Operation Twist or OMO can influence these components, but attribution requires an event window and a counterfactual rather than post hoc narration.

3. Optimal liquidity and floor-system questions

Abundant reserves can stabilise markets but weaken interbank trading and price discovery; scarce reserves can sharpen control but increase volatility. RBI therefore estimates an operationally adequate, not metaphysically exact, liquidity level.

4. Monetary-fiscal interaction

Large government borrowing can affect yields and transmission. RBI's market operations may preserve orderly conditions, but policy analysis must distinguish liquidity management, debt management and direct deficit financing.

5. Central-bank capital and credibility

A central bank is not judged like a commercial bank because it issues domestic monetary liabilities, yet persistent losses, weak provisioning or perceived fiscal use can impair operational independence and inflation credibility.

6. Distributional political economy

Tightening helps savers and inflation credibility but raises debt-service burdens; easing supports borrowers and asset prices but can redistribute toward leveraged balance sheets. Distribution is a consequence to analyse, not a separate statutory MPC target.

CONSOLIDATED REGISTER NOTES

1. Institutional timeline and limits

- Hilton-Young Commission, 1926 -> RBI Act, 1934 -> operations on 1 April 1935.
- Reserve Bank (Transfer to Public Ownership) Act, 1948 -> public ownership from 1 January 1949.
- RBI is statutory, not constitutional. Section 7 preserves a public-interest direction power after consultation; routine operations otherwise follow the statutory board/governor structure.
- Functions: monetary authority, banknote issue except the one-rupee note, banker/debt manager to governments, bankers' bank and settlement institution, reserve manager, lender of last resort, and regulator of assigned banking/payment domains.

2. Target, actor and accountability decoder

Question	Correct actor
Who determines/notifies CPI target?	Central Government in consultation with RBI, once every five years, under section 45ZA
Who decides policy repo?	Six-member MPC under section 45ZB
Who implements corridor/liquidity?	RBI
Who reports target failure?	RBI to Central Government under section 45ZN

- Gazette dated 25 March 2026: headline CPI target 4%, lower tolerance 2%, upper tolerance 6%, valid 1 April 2026-31 March 2031.
- Failure: average inflation outside a tolerance limit for three consecutive quarters -> reasons, remedies and estimated return horizon.
- MPC: Governor, monetary-policy Deputy Governor, Central Board-nominated RBI officer, three Government-appointed externals.
- External members: four years, no reappointment; statutory eligibility/conflict safeguards.
- Quorum four including Governor or, in absence, MPC Deputy Governor; majority vote; Governor casts only on tie.
- At least four meetings annually; six is practice. Minutes on day 14; Monetary Policy Report every six months.
- Statutory decoder: s.45ZC eligibility/selection; s.45ZD terms; s.45ZE removal; s.45ZF vacancies do not invalidate proceedings; s.45ZG secretary; s.45ZH information; s.45ZI meetings; s.45ZJ implementation; s.45ZK decisions; s.45ZL proceedings; s.45ZM report; s.45ZN failure.
- August 2026 members: Sanjay Malhotra, Poonam Gupta, Indranil Bhattacharyya, Nagesh Kumar, Saugata Bhattacharya, Ram Singh. Recheck after the dated meeting.

3. Corridor and instrument table

Instrument	Mechanics	Stable trap
Repo	collateralised RBI liquidity; MPC policy rate	not every injection is a rate cut
SDF	standing, uncollateralised absorption; floor since 2022	FRRR was replaced as floor, not abolished
MSF	overnight collateralised backstop; ceiling	facility access is counterparty-specific
Bank Rate	statutory/reference and penalty-linked rate; currently aligned with MSF	not routine repo
CRR	cash with RBI as share of NDTL; RBI Act s.42	not interest-bearing G-secs held by bank
SLR	specified liquid assets held by bank; BR Act s.24	not cash deposited with RBI

- Current configuration, decision dated 5 August 2026: repo 5.25%, SDF 5.00%, MSF/Bank Rate 5.50%, stance neutral.
- RBI data checked 9 September 2026: CRR 3.00%, SLR 18.00%. Recheck before use.
- WACR is the overnight operating target; alignment with repo is necessary but not proof of full transmission.

4. Liquidity toolkit

- Transient: fixed/variable repo or reverse-repo operations. Framework dated 30 September 2025 uses primarily 7-day VRR/VRRR plus other overnight-to-14-day tenors at RBI discretion.
- Durable: outright OMOs, long variable operations and forex swaps.
- OMO purchase injects durable liquidity; sale absorbs. Repo is not outright.
- Operation Twist changes maturity composition by buying and selling across the yield curve; net liquidity depends on design.
- MSS securities absorb surplus; proceeds enter a separate account restricted to redemption/buyback, not ordinary expenditure.
- Autonomous drivers: currency demand, tax/spending flows, government cash, settlement and capital flows.

5. Money, credit and stress

- $M0$ = currency in circulation + bankers' deposits with RBI + other deposits with RBI.
- Empirical money multiplier = $M3/M0$.
- Reject universal $1/CRR$: currency leakage, excess reserves, capital, risk, funding, regulation and loan demand matter.
- Lending commonly creates a deposit; reserves settle the system. Endogenous does not mean unlimited.
- Liquidity = payment timing; solvency = asset/capital viability. Last-resort cash cannot replace capital or resolution.

6. Transmission and stance

- Channels: interest rate, credit, expectations, exchange rate and asset price.
- EBLR: observable external benchmark plus spread; faster reset for covered loans.
- MCLR: internal marginal-funding benchmark; remains relevant to covered/legacy loans.
- Approximate ex ante real policy rate = nominal repo - expected inflation.
- Neutral rate is unobservable and estimated. Policy stance, rate move and liquidity position are distinct.

7. Inflation, growth, exchange rate and fiscal coordination

- Demand inflation: monetary restraint more direct.
- Supply inflation: look through first round only if breadth/expectations remain contained; resist second-round persistence.
- Fiscal/supply tools repair food, fuel, logistics and targeted welfare constraints.
- Coordination is compatible with MPC independence; it is not fiscal dominance.
- RBI intervenes to curb excessive volatility, speculation and disorderly movement, not to promise a fixed rupee level.
- Forex purchase injects rupees; sale absorbs. Sterilisation is the separate offsetting liquidity operation.

8. RBI balance-sheet recall

- Liabilities: notes issued, government/bank deposits, capital/reserves/revaluation accounts.
- Assets: foreign currency assets, gold, domestic government securities and liquidity-related claims.
- Income: returns on domestic/foreign assets and specified operations/fees.
- Notes are liabilities. Seigniorage is the resource benefit from low-cost monetary liabilities, not face value as annual profit.
- Surplus follows expenses and risk provisioning; unrealised valuation gains are not automatically distributable.

9. Prelims traps

1. 4% target is not the same as the 2-6% tolerance band.
2. One monthly breach is not section 45ZN failure.
3. Governor has a casting vote only after a tie.
4. WACR is operating target; repo is policy rate; CPI is nominal target.
5. SDF is uncollateralised absorption; MSF is collateralised overnight borrowing.
6. FRRR remains discretionary but is no longer the floor.
7. CRR and SLR differ in statute, asset and custody.
8. OMO is outright; repo is reversible.
9. Liquidity and solvency are different.
10. RBI smooths exchange volatility; it does not target a fixed rate.
11. Banknotes are RBI liabilities.
12. EBLR is a benchmark, not the final borrower rate.

10. Mains frameworks

- **Institutional:** origin -> statutory mandate -> Government/MPC/RBI roles -> transparency -> limits.
- **Instrument:** objective -> counterparty -> collateral -> tenor -> balance-sheet effect -> dated status.
- **Transmission:** signal -> WACR -> five channels -> frictions -> output/inflation -> lag.
- **Shock:** demand/supply/external/financial diagnosis -> proportional monetary response -> fiscal/supply complement -> distribution -> qualified verdict.
- **External:** intervention -> rupee-liquidity effect -> sterilisation -> reserve/cost limit -> no peg.

11. Topic boundaries

- Economy Topic 3 owns CPI construction, inflation taxonomy and measurement.
- Economy Topic 5 owns banking structure, NBFC perimeter, capital and detailed prudential regulation.
- This topic owns monetary institutions, instruments, liquidity and transmission.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

ASCII MASTER FLOW - PANEL 1/12: ORIGIN AND LEGAL IDENTITY

```
+-----+
| Hilton-Young 1926 -> RBI Act 1934 -> work from 01-04-1935 |
| Transfer to Public Ownership Act 1948 -> public from 01-01-1949 |
| statutory, not constitutional | Central Board | Section 7 limit |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 2/12: FUNCTIONS AND PERIMETERS

```
+-----+
| monetary authority | notes except Rs 1 | banker/debt manager |
| bankers' bank / settlement / last resort | forex reserves |
| assigned banking + payment regulation | no tax/spend/legislation |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 3/12: FLEXIBLE INFLATION TARGET

```
+-----+
| RBI Act s.45ZA: Government + RBI consultation -> Gazette |
| 25-03-2026: headline CPI 4%; lower 2%; upper 6% |
| period 01-04-2026 to 31-03-2031 | review every five years |
| primary price stability; growth kept in mind |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 4/12: MPC DECISION BODY

```
+-----+
| Governor + monetary-policy DG + Board-nominated RBI officer |
| + 3 Government-appointed externals = 6 | decision binds RBI |
| externals: 4 years; no reappointment | eligibility safeguards |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 5/12: VOTE AND ACCOUNTABILITY

```
+-----+
| quorum 4 incl Governor / MPC DG | one vote each | tie: casting |
| >=4 meetings/year; six is practice | minutes on day 14 |
| MPR every 6 months | 3 quarterly breaches -> s.45ZN report |
| reasons + remedies + estimated return period |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 6/12: CURRENT CORRIDOR - 05-08-2026

```
+-----+
| SDF floor 5.00 <- repo 5.25 -> MSF ceiling 5.50 |
| Bank Rate 5.50 | neutral stance | numbers are dated, not static |
| WACR = operating target; RBI uses two-way liquidity operations |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 7/12: INSTRUMENT DECODER

```
+-----+
| SDF: uncollateralised absorption | MSF: overnight backstop |
| CRR: cash with RBI, s.42 | SLR: bank-held liquid assets, s.24 |
| CRR 3%, SLR 18% checked 09-09-2026 | FRRR retained, not floor |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 8/12: TRANSIENT VERSUS DURABLE LIQUIDITY

```
+-----+
| transient: primarily 7-day VRR/VRRR; O/N to 14-day discretion |
| durable: OMO + long variable operations + forex swaps |
| Twist: buy long/sell short | MSS: ring-fenced government account |
| injection/absorption quantity != automatic stance change |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 9/12: MONEY AND BANK STRESS

```
+-----+
| M0 = currency + bankers' RBI deposits + other RBI deposits |
| multiplier = M3/M0; not fixed 1/CRR |
| credit depends on reserves + capital + risk + funding + demand |
| liquidity timing != solvency/net-worth problem |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 10/12: TRANSMISSION

```
+-----+
| repo/communication -> WACR -> market/deposit/lending rates |
| interest + credit + expectations + FX + asset-price channels |
| EBLR can reset faster; MCLR remains relevant | spreads and lags |
+-----+
```

|

v

ASCII MASTER FLOW - PANEL 11/12: TRADE-OFFS AND BALANCE SHEET

```
+-----+
| supply shock: contain second rounds; fiscal/supply repair source |
| FX intervention smooths disorder; sterilisation offsets liquidity |
| notes issued = liability | assets earn | seigniorage != face value |
| stance != liquidity position | neutral rate is estimated |
+-----+
```

|

v

ASCII MASTER FLOW - PANEL 12/12: EXAM ANSWER SPINE

```
+-----+
| diagnose shock -> assign Government/MPC/RBI role -> choose tool |
| -> trace channel -> test lag/distribution/stability -> qualify |
| Topic 3: inflation measurement | Topic 5: banking architecture |
| verdict: credible anchor + flexible operations + supply response |
+-----+
```